



Cambridge International AS & A Level

ECONOMICS

Paper 1 Multiple Choice

9708/13

October/November 2022

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are **four** possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You **may** use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Solved by:-
Zaraat Nushrafat

This document has 12 pages.

2

1 Which action would **not** raise the quality of the particular factor of production?

- ✓ **A** capital – operating a machine continuously at full capacity (already at optimum)
B enterprise – providing risk management advice improves quality
C land – increasing the use of fertilisers improves quality
D labour – making apprenticeships and training compulsory improves quality

2 During a period of deflation an economy's aggregate monetary demand falls.

Which function of money explains this fall?

- A** a measure of value
B a medium of exchange
C a standard for deferred payment
 ✓ **D** a store of value

Store of value

Same ↑

Spend ↓

C ↓

AD ↓

AD ↓ (deflation)

3 What will usually result if production is divided into separate processes that are assigned to different people?

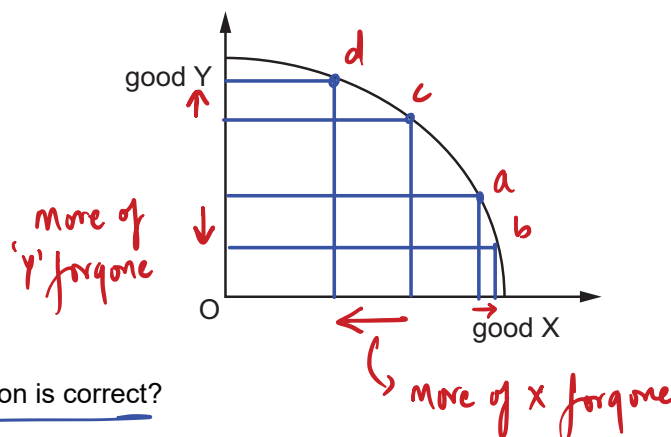
Division of labour → greater output

Specialization → reduces cost

	lower output per worker	more repetitive tasks	lower costs
✓ A	no ✓	no	no
✓ B	no ✓	yes ✓	yes ✓
C	yes	no	no
D	yes	yes ✓	yes ✓

3

- 4 The diagram shows a production possibility curve.



Which combination is correct?

	opportunity cost of producing more of good Y	opportunity cost of producing more of good X
A	decreases	decreases
B	decreases	increases ✓
C	increases ✓	decreases
D	increases ✓	increases ✓

- 5 A government wishes to ensure adequate flood defences are provided in its coastal areas.

Which action is most likely to be undertaken only by the government?

A building the defences

B designing the defences

✓ C financing the defences (public good)

D maintaining the defences

[Willingness - Actual]

These tasks can be delegated!

- 6 Consumer surplus exists in the market for rice.

What does this mean?

A Consumers benefit from rice production more than producers.

B Consumer demand for rice exceeds supply. Shortage

✓ C Some consumers would be willing to pay more than the market price for rice.

D The production of rice exceeds the supply. Surplus

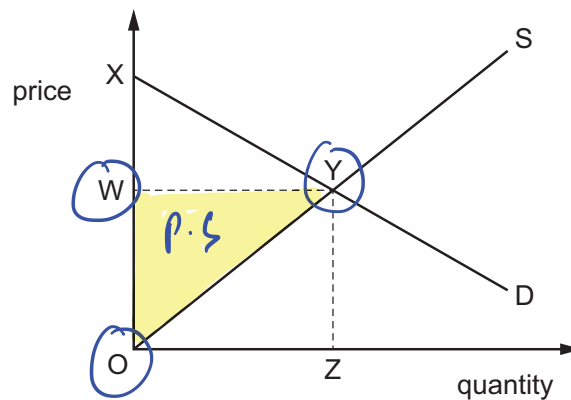
can't comment

Price and quantity information required.
Elasticity's required

That's how you define C-s!

4

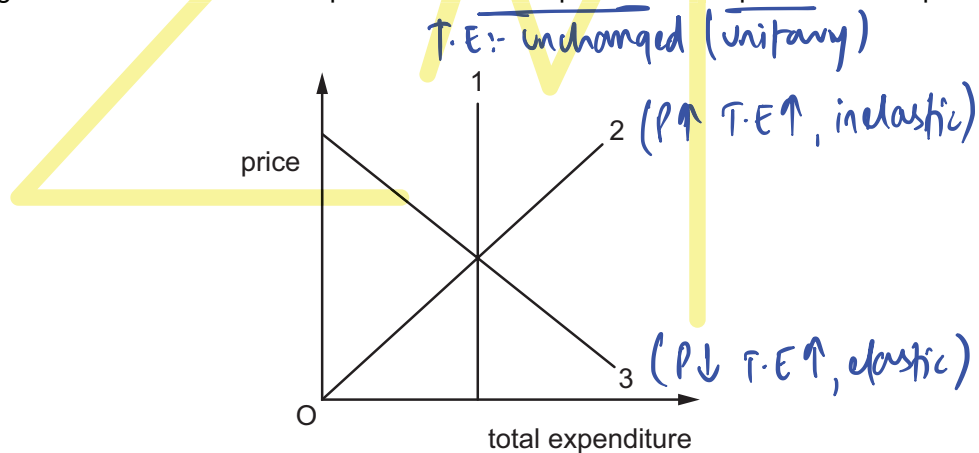
- 7 The diagram shows the demand curve and supply curve for a product.



Which area represents producer surplus?

- A OWYZ minus OWY :- cost of production
 ✓ B OWYZ minus OYZ :- OWY
 C OXYZ minus OYZ :- $C.S + P.S$
 D OXYZ minus WXY :- Total revenue / Total expenditure.

- 8 The diagram shows the relationship between total expenditure and price for three products, 1, 2 and 3.



Which curves represent the products with price-elastic and unitary price-elastic demand?

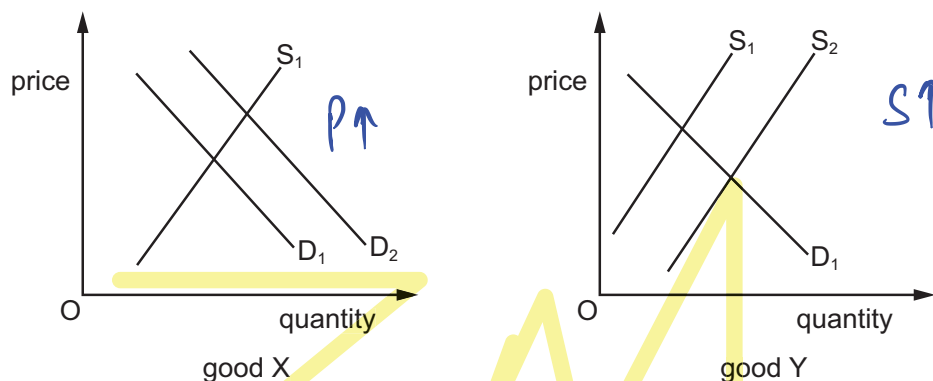
	elastic	unitary
A	1 (unit)	2
B	2 (inelastic)	3
✓ C	3 ✓	1 ✓
D	3 ✓	2

5

Qty supplied +
low responsiveness

- 9 What causes an inelastic market supply curve for an agricultural crop such as wheat?
- A a government decision to import crops at times of shortage, *supply can be increased*
 - B an efficient use of fertilisers causing crop production to rise, *QS ↑*
 - C the storage of excess production for future sale *excess, QS ↑*
 - ✓ D the very long time required to produce additional output, *low responsiveness.*

- 10 The diagrams show the effect of a change in the market for good X on the market for good Y.



What can be concluded about the goods?

- A X and Y are complements. *(Negative, 2 goods, P and demand)*
- ✓ B X and Y are in joint supply.
- C X and Y are substitutes. *(Positive, 2 goods, P and demand)*
- D Y is a derived demand from X.

Positive relationship between price of one good (X), and supply of other good (Y)

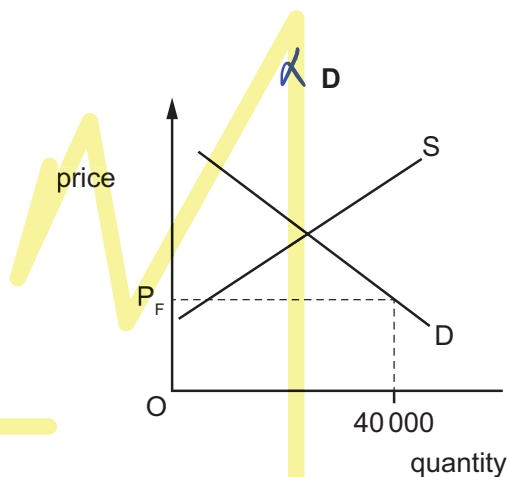
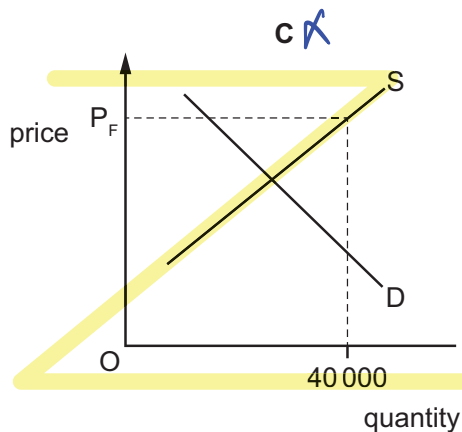
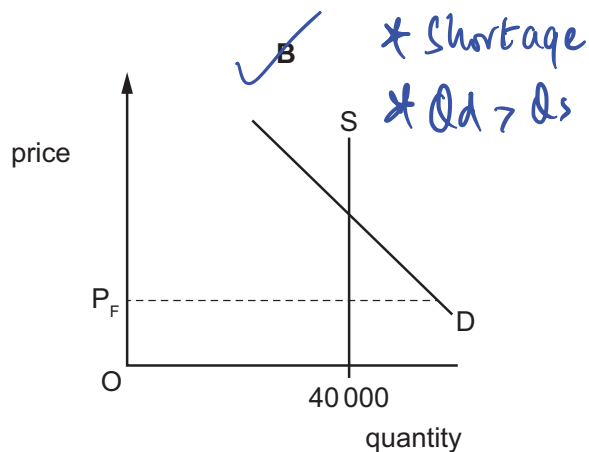
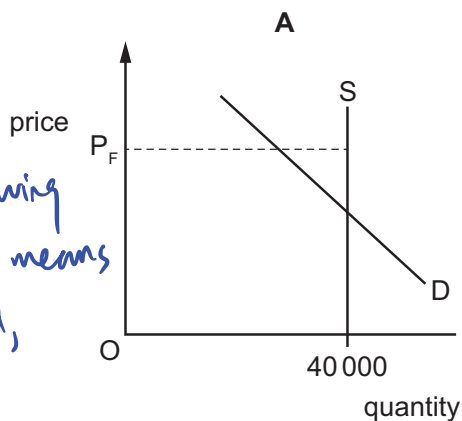
6

 $Q_s = 40k$ (fix)

- 11 The final of a major sports event is held in a stadium which has a fixed capacity of 40 000 people. The price for a seat is set at P_F , but when the tickets go on sale all tickets are sold very quickly with many disappointed people unable to buy a ticket.

Which diagram best represents this?

Diagram showing surplus, this means that $Q_s > Q_d$, can't happen



- 12 Which product has the lowest price elasticity of demand?

	price rises by (%)	quantity demanded falls by (%)
A	0	10
B	5	5
C	10	5
D ✓	10	0

Perfectly elastic (∞)
Unitary ($=1$)
Inelastic (<1)
Perfectly inelastic ($PED=0$)

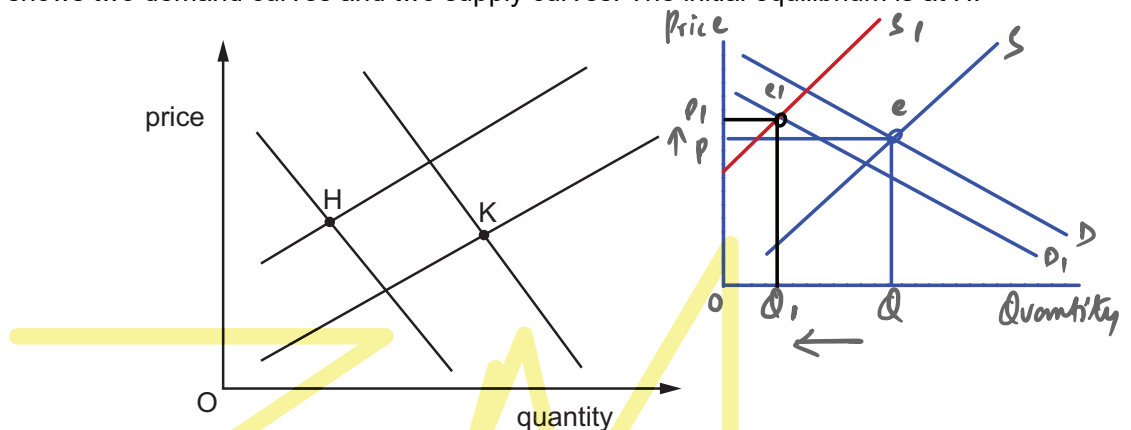
$D=S$ 7

13 The market for a product is initially in equilibrium.

Which combination of changes will cause the price of the product to rise and the quantity sold to fall?

- $D \downarrow (P \downarrow Q \downarrow)$ $S \downarrow (P \uparrow Q \downarrow)$ $P \uparrow$ $Q \downarrow$
- A a decrease in demand that is larger than a decrease in supply $\therefore P \downarrow Q \downarrow$
 - ☒ B a decrease in demand that is smaller than a decrease in supply $\therefore P \uparrow Q \downarrow$
 - C an increase in demand that is larger than an increase in supply $\therefore P \downarrow Q \uparrow$
 - D an increase in demand that is smaller than an increase in supply $\therefore P \uparrow Q \uparrow$

14 The diagram shows two demand curves and two supply curves. The initial equilibrium is at H.



Which combinations of shifts in the demand and supply curves would result in a change in the equilibrium position from H to K?

- ☒ A an increase in demand and an increase in supply
- B an increase in demand and a decrease in supply
- C a decrease in demand and an increase in supply
- D a decrease in demand and a decrease in supply

* Concept of negative income tax

15 In 2009, the Australian Government made a payment of \$900 to those who earned less than \$100 000 per year.

How would this payment best be described?

- A neutral
- ☒ B progressive
- C proportional
- D regressive

* A progressive tax is a tax in which the tax rate increases as the taxable amount increases. The term progressive refers to the way the tax rate progresses from low to high, with the result that a taxpayer's average tax rate is less than the person's marginal tax rate.

* A proportional tax is a tax imposed so that the tax rate is fixed, with no change as the taxable base amount increases or decreases. The amount of the tax is in proportion to the amount subject to taxation.

* A regressive tax is a tax imposed in such a manner that the tax rate decreases as the amount subject to taxation increases. "Regressive" describes a distribution effect on income or expenditure, referring to the way the rate progresses from high to low, so that the average tax rate exceeds the marginal tax rate.

less than an amount, payment is given
Crossing that amount (\$100,000), benefits will not be given.

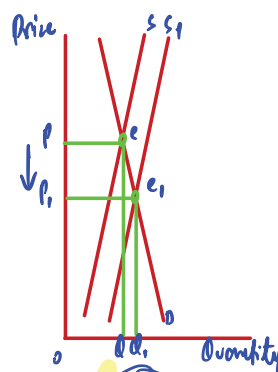
Government spending = per unit subsidy $\times$ Quantity

So, less change in quantity, then ⁸ less spending by government, thus inelastic

- 16 The market for good Z is in equilibrium with 1000 units sold at a price of \$10. The government pays a subsidy of \$2 per unit to producers of good Z.

Under which conditions will the total spending by the government on the subsidy be **smallest**?

	price elasticity of demand for good Z	price elasticity of supply for good Z
A	< 1 ✓	< 1 ✓
B	< 1 ✓	> 1
C	> 1	< 1 ✓
D	> 1	> 1



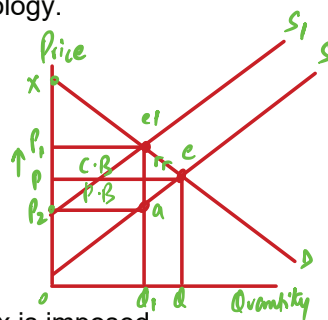
- 17 If an industry is currently state-owned and state-run, what does **not** represent a reason for it being privatised?

- so, private sector
- A Decisions will no longer be taken with political considerations in mind.
 - B The benefits of merit goods will be taken into account in decision-making.
 - C Its owners would have more incentive to make it operate profitably.
 - D There will be greater incentives for managers to introduce modern technology.

Private sector doesn't take external benefit into consideration

- 18 What does the incidence of an indirect tax on a product refer to?

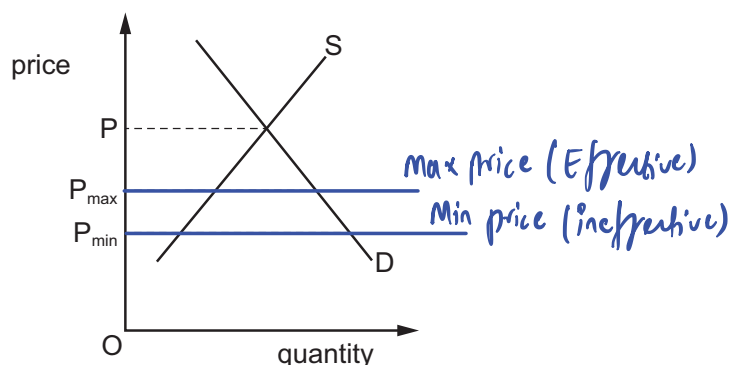
- 'Tax borne' Private sector C.B P.B
- A the proportion of the tax paid by the consumer relative to the producer
 - B the reduction in output as a result of the imposition of the tax
 - C the revenue the tax generates for the government
 - D the increase in the hidden economy as a result of tax evasion after the tax is imposed



9

- 19 A government wishes to influence the price of a good. It introduces a maximum price, $P_{\max}$, and a minimum price, $P_{\min}$. ^{Effective} _(Ineffective)

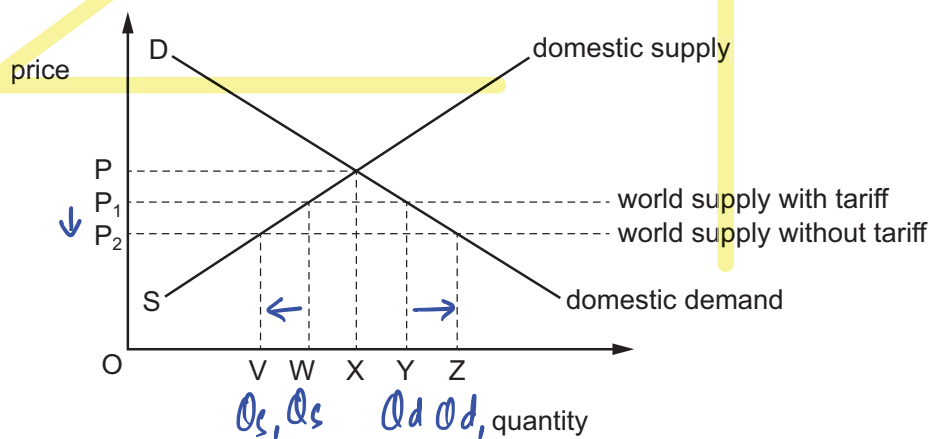
The diagram shows these prices relative to the current market price P .



What can be concluded from the diagram?

- A Both the maximum and the minimum price will be effective. ^{No}
- B Only the maximum price will be effective. ☒
- C Only the minimum price will be effective. ^{No}
- D The market price will continue to operate. ^{No}
- Trade creation

- 20 A government removes the tariff on a product, as shown.



What will be the change in domestic production?

- A a reduction of WV ☒
- B a reduction of XV
- C a reduction of XW
- D a reduction of ZY

21 An economy is initially in equilibrium.

Which combination of events will **definitely** cause an increase in the general price level of the economy and a decrease in its real output?

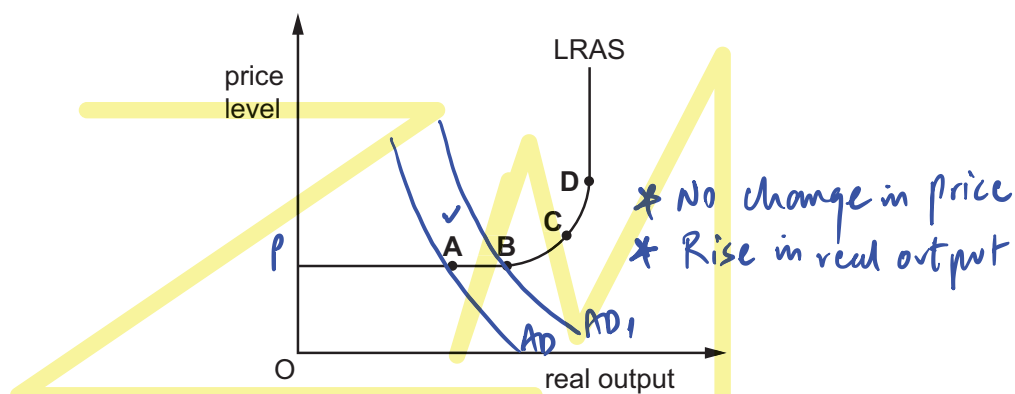
	aggregate demand	short-run aggregate supply
A	decreases	decreases
B	decreases	unchanged
C	increases	decreases
D	unchanged	decreases

$\rho \uparrow, \gamma \downarrow$

$G > \text{Tax revenue}$

- 22** The government of a country changes from a balanced budget to a budget deficit.

From which point along the country's long-run aggregate supply curve (LRAS) will this change cause the largest increase in employment without creating inflationary pressure?



- 23 The price and volume indexes of a country's imports and exports are shown in the table, for year 2 [year 1 = 100].

year 2 price index		year 2 volume index	
imports	exports	imports	exports
110	121	90	80

What is the country's terms of trade index for year 2?

- A** 90.9

- B** 97.8

- C** 110.0

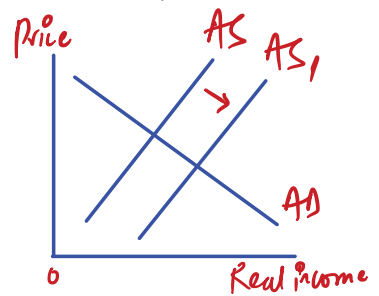
- D** 111.0

B 97.8 C 110.0 D 111.0

$\frac{n_{\text{prices}}}{n_{\text{prices}}} \times 100$ TOT $\Rightarrow \frac{121}{110} \times 100 = 110$

24 What is a certain outcome on an aggregate demand and aggregate supply diagram of an increase in factor productivity? *AS↑*

- A downward shift of the aggregate demand curve *AD↓*
- ☒ B downward shift of the aggregate supply curve *AS↑ (increase)*
- C an upward shift of the aggregate demand curve *AD↑*
- D an upward shift of the aggregate supply curve *AS↓ (decrease)*



25 Trade in services is a component of the current account of the balance of payments. *4 components*

What is an example of a trade in services?

- A development aid for foreign countries *Secondary income*
- B export revenue from primary commodities *Trade in goods*
- ☒ C income from foreign tourists *Use of our services, airline*
- D income from overseas investments *Primary income*

Remember, reverse is the case in inflation, real income ↓

26 Which statement about changing price levels is correct?

- ☒ A Anyone on a fixed income has rising real income during deflation.
- B Government revenue from indirect taxes falls during inflation. *rise*
- C Producers prefer deflation to inflation. *(other way round)*
- ☒ D Savers prefer index-linked savings when there is deflation rather than inflation. *(other way round)*

Deflation increases the real value of money and the real value of debt. Deflation makes it more difficult for debtors to pay off their debts. Therefore, consumers and firms have to spend a bigger percentage of disposable income on meeting debt repayments.

Index-linked Savings Certificates are inflation linked bonds from National Savings and Investments, the state-owned savings bank in the United Kingdom. The bond terms are typically 2, 3 or 5 years. The returns are linked to the RPI with an escalating premium on top.

27 What would be likely to decrease inflation in an economy?

- A a decrease in consumer saving *Save ↓, C ↑, AD ↑, P ↑*
- B a decrease in unemployment, employment ↑, income ↑, C ↑, AD ↑, P ↑
- ☒ C an increase in labour productivity, efficiency ↑, output per worker ↑, AS ↑
- D an increase in taxes on imports, switch to domestic, AD ↑, P ↑

28 Which change in economic circumstances is most likely to lead to a reduction in the rate of domestic inflation in an economy?

- A a depreciation in the currency *x prices ↓ (demand pull), m prices ↑ (cost push)*
- B a reduction in the productivity of labour, cost ↑, AS ↓, P ↑
- ☒ C a worldwide recession *AD ↓, P ↓ (most likely)*
- D an increase in direct taxes to finance increased welfare payments
C ↓ I ↓ (AD ↓) G ↑ (AD ↑)

- 29 A country is currently experiencing deflation. It has a large national debt that is greater than its annual real income.

Which combination of policies is most likely to increase the general price level without adding to the national debt?

→ so 'C' needs to be reduced

	fiscal policy	monetary policy
A	decrease the budget deficit	decrease the money supply
B	decrease the budget deficit	increase the money supply
C	increase the budget deficit	decrease the money supply
D	increase the budget deficit	increase the money supply

- 30 Which government action will conflict with the named economic target?

	target	action
A	lower price inflation	lower exchange rate
B	more consumer spending	lower interest rates
C	more equal incomes	lower indirect tax rate
D	reduced import levels	smaller trade quotas

depreciation leads to demand pull and cost push inflation

L ↓
Save ↓
Spend ↑
doesn't conflict

Indirect tax ↓
regressive tax
impact on poor
Equality ↑

Quota, limit
Qty restricted
M ↓

Depreciation

X prices ↓ X Qty ↑ X (TR) ↑ AD ↑ AS > AS Demand pull inflation	M prices ↑ M Qty ↓ M (TE) ↑ PED < 1 Cost ↑ cost push inflation
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